



WHAT IS OPEN INTEREST?

Open interest (OI) is the measurement of the total number of outstanding option contracts in the market that are open i.e. the contracts which are not closed yet because of expiry, exercise or settlement. Option Chain or Open Interest shows the flow of money into option strikes.

OPTION CHAIN							OPTION GREEKS						
CALLS							PUTS						
Chng	OI	Volume	ITM Prob.	IV	LTP	CHNG	STRIKE	CHNG	LTP	IV	ITM Prob.	Volume	OI
438	50967	739455	73.1	10.82	171.05	46	19200	-44.1	25.05	10.84	26.8	1494016	209564
747	56495	1042298	65.7	10.61	133.1	36.6	19250	-52.85	36.9	10.6	34.2	1350297	112550
1518	230743	3077032	57.7	10.4	99.4	26.55	19300	-62.05	53.2	10.38	42.2	2424382	256977
1516	119177	1469060	49.3	10.31	71.6	18.45	19350	-70.65	75.2	10.26	50.6	748279	70340
004	213045	1388269	41	10.23	49.25	11.05	19400	-78.25	103	10.2	58.9	558253	97918
1458	123800	733934	33.1	10.24	32.7	5.55	19450	-88.05	136.05	10.15	66.8	92153	24066
1414	271612	1073920	25.8	10.32	21.1	1.9	19500	-92.65	174.7	10.26	74.1	179663	75663

Source: Opstra.definedge.com

A rising open interest means that new contracts are being created on a certain strike price by an increase in the buying or selling of options. Declining open interest means that the existing contracts are being closed out or they are expiring. Traders monitor open interest as it reveals important derivative trading activity.

Let's dive into the main part now.

OPTION BUYING USING THE OPEN INTEREST

This intraday strategy involves the buying of options based on spikes in the open interest. In this strategy, we will be looking at the Nifty 50 option chain. You can find the option chain easily by visiting NSE'S (National Stock Exchange) website.

- We will analyze the Nifty 50 option chain at market open, somewhere around 9:20 a..m.
- Next, we have to look at the put and call option strikes with the highest open interest.
- The fundamental assumption here is that the high open interest strike prices act as the dynamic support and resistance levels.
- Because traders selling at those levels want to defend these strike prices.